

BETTERWARE DE MEXICO S A P BWMX

March 02, 2026 - 11:10am EST

by

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			2026	2027
Price:	16.57	EPS	0	0
Shares Out. (in M):	37	P/E	0	0
Market Cap (in \$M):	618	P/FCF	0	0
Net Debt (in \$M):	237	EBIT	0	0
TEV (in \$M):	856	TEV/EBIT	0	0

Description

Target Price in 6-12 months US\$ 25-30

Introduction

BeFra is a leading consumer products company in Mexico and Latin America, the parent company of Betterware de México and Jafra. The company specializes in direct-to-consumer innovative home solutions and beauty product categories, supported by proprietary distribution systems, strong manufacturing capabilities, and a long-standing culture focused on operational efficiency. With a diverse distribution network and a broad end-customer base across the region, BeFra continues to expand its portfolio through strategic acquisitions that drive innovation, growth, and long-term value creation.

On January 19, 2026, the company announced the acquisition of Tupperware's operations in Latin America, together with a perpetual license to the Tupperware brand in the region for US\$250M with an implied acquisition multiple of 3.1x EV/EBITDA and 5.6x P/E 2025E (for reference, Tupperware used to trade at 8.0x EV/EBITDA and 12.0x P/E); the transaction is highly accretive, boosting EPS by 40%. We expect the proforma company to generate US\$235M of EBITDA and US\$114M of FCF in 2026E. With the current share price of US\$16.57 the proforma company is trading at 4.7x EV/EBITDA and 6.3x P/E 2026E, denoting the cheapness and opportunity; we estimate a potential **upside of 50-80% in the next 12 months**.

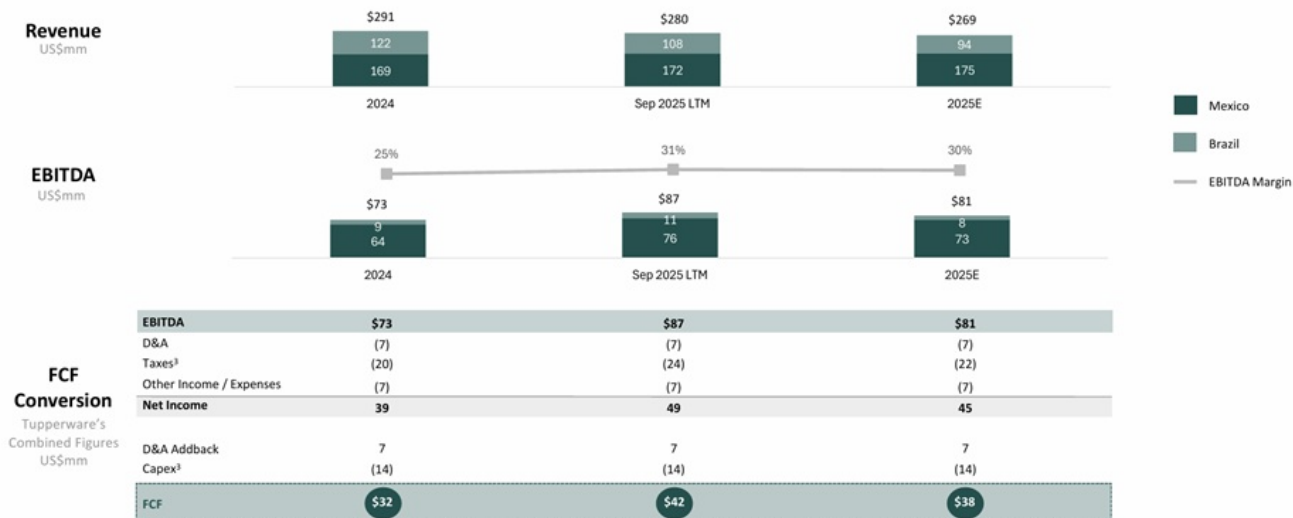
Key Factors Creating this Opportunity

The transaction has largely gone under the radar, primarily due to the company being a micro-cap (US\$620M), lack of coverage from sell-side analysts (the analysts currently covering the company have a PT of US\$30), and the company being a Mexican issuer listed on the NYSE.

Beyond these factors, we believe the market has yet to fully understand and appropriately analyze the strategic and financial implications of the transaction with Tupperware LatAm. Despite a well-prepared presentation by the company, there appears to be a lack of overall market understanding of how good and catalyzing this transaction is. We believe the scale of the earnings accretion (+40%), the expansion of BeFra's regional footprint (entering Brazil), the strengthening of its manufacturing and distribution capabilities, and the long-term cash flow potential of the acquired operations are not currently priced in and, once fully understood, would trigger a re-rating and appreciation of the stock.

Overview of the Transaction

Tupperware LatAm is widely viewed as the regional leader in kitchen and food-preservation solutions and has demonstrated stable cash flow generation even throughout the Chapter 11 process. It is estimated that the LatAm region subsidized losses in Tupperware's U.S. operations for several years and represented the crown jewel of the global Tupperware business. Today, the business operates under a vertically integrated, debt-free model, generating 2025E revenue of US\$269M with a ~30% EBITDA margin and US\$38-40M of FCF.



The opportunity became available to BeFra at such an attractive valuation because of a unique setup and timing. In November 2024, a group of hedge funds (<https://restructuringnewsletter.com/p/tupperware-a-double-restructuring>) acquired control of Tupperware's global operations through a credit bid, effectively assuming ownership of the equity, and once stabilized, it was logical for these investors to pursue regional divestitures to strategic buyers. Given the nature of the credit bid, we believe the sellers were less price-sensitive, as our estimates suggest they effectively acquired Tupperware's global platform for US\$40-60M.

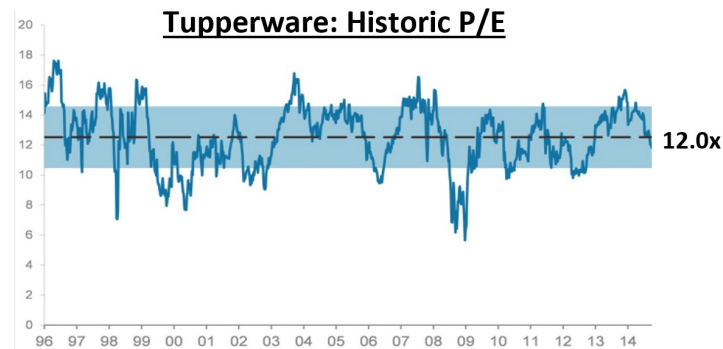
The acquisition of Tupperware LatAm implies 2025E multiples of 3.1x EV/EBITDA and 5.6x P/E, equivalent to a free cash flow yield of 14.8%. These levels stand in sharp contrast to Tupperware's historical trading multiples of approximately 8.0x EV/EBITDA and 12.0x P/E, as well as BeFra's pre-deal valuation of approximately 5.4x EV/EBITDA and 9.8x P/E 2025E. Approximately 86% of the acquisition purchase price was financed with debt, thereby enhancing the transaction's earnings accretion of 40%. Pro forma leverage is expected to increase modestly from ~1.6x to ~1.9x Net Debt / EBITDA, remaining within a conservative range and consistent with the company's strong free cash flow generation and deleveraging capacity.

2025E¹

US\$ mm

	BeFra	Tupperware Mexico	Tupperware Brazil	Combined
EBITDA	\$136	\$73	\$8	\$217
Interest Expense	(28)	0	0	(28)
Interest Expense (Acq. Debt)	0	0	0	(19)
D&A	(20)	(4)	(3)	(27)
Taxes	(36)	(20)	(2)	(57)
Other Income / Expenses	3	(5)	(3)	(5)
Net Income	55	44	1	81
D&A Addback	20	4	3	27
Working Capital	(0)	0	0	(0)
Other Cash Flow	10	0	0	10
Operating Activities	85	48	3	118
Capex	(4)	(9)	(5)	(18)
FCF	\$81	\$39	\$(2)	\$100
Acquisition Strategy				
Acquisition Price				\$250
Cash				\$215
Shares				\$35
Number of shares to be issued ² (millions)				2.24
Shares Outstanding (millions)	37.3			39.6
EPS ³ (US\$)	\$1.46			\$2.04
Accretion BeFra Shareholders				39.5%

In our view, the Tupperware LatAm operations would trade at a premium valuation compared to BeFra's, given its high-end market, stronger brand recognition, vertically integrated operating model, and structurally higher margins. The fact that Tupperware LatAm was acquired at a discount to both Tupperware's historic trading and BeFra's current trading levels underscores how attractively priced the transaction was.



Projections and Estimates

We estimate our projections without any aggressive expansion in the LatAm region, which is the most actionable growth avenue.

US\$mm	2025E	2026E	2027E
Revenue	742	1,075	1,236
BeFra	742	779	896
Tupperware	0	296	340
Gross Profit	495	697	801
BeFra	495	519	597
Tupperware	0	178	204
Gross Margin	67%	65%	65%
EBITDA	139	235	270
BeFra	139	145	167
Tupperware	0	89	102
EBITDA Margin	18.7%	21.8%	21.8%
Net Income	54	104	129
BeFra	54	68	83
Tupperware	0	36	46
FCF	81	114	138
BeFra	81	84	100
Tupperware	0	29	39

Our base-case valuation for the stock appreciation does not rely on multiple expansion; applying only BeFra's historical pre-deal trading multiples implies potential upside of approximately 20-40%. In the event of a re-rating, the implied upside expands significantly to approximately 50-70%, all of this considering 2026E figures only.

If BeFra manages to grow Tupperware LatAm by 2027, the upside could potentially be 60-80%. Note: The company has already proved capable of reigniting growth with the acquisition of Jafra, which has yielded a 23% EBITDA CAGR since the acquisition.

Pre-Deal EV/EBITDA 5.4x		
	2026E	2027E
EBITDA (\$M)	235	270
EV (\$M)	1,264	1,454
Debt (\$M)	470	470
Cash (\$M)	18	18
Market Cap (\$M)	776	966
Shares Out. (M)	39.6	39.6
Price	19.62	24.41
Potential Upside	18%	47%

Pre-Deal P/E 9.8x		
	2026E	2027E
Net Income (\$M)	104	129
Shares Out. (M)	39.6	39.6
EPS	2.64	3.26
Price	25.78	31.87
Potential Upside	56%	92%

In our upside scenario, we assume the pro forma company's multiples re-rate toward the industry mean, implying potential upside of approximately 60–100%.

Potential EV/EBITDA 7.0x		
	2026E	2027E
EBITDA (\$M)	235	270
EV (\$M)	1,642	1,888
Debt (\$M)	470	470
Cash (\$M)	18	18
Market Cap (\$M)	1,154	1,400
Shares Out. (M)	39.6	39.6
Price	29.17	35.40
Potential Upside	76%	114%

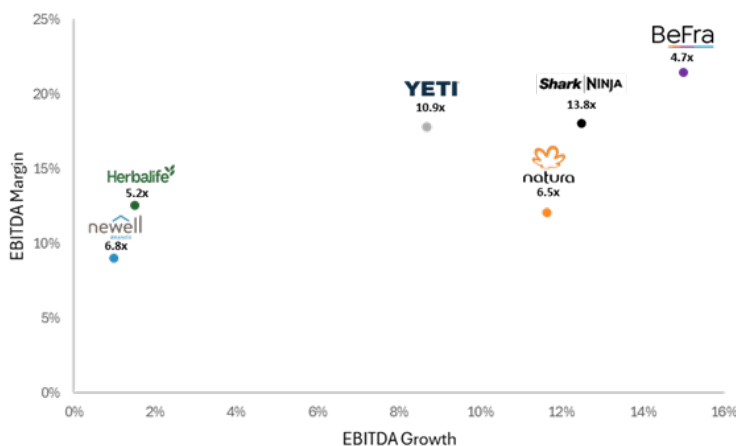
Potential P/E 11.0x		
	2026E	2027E
Net Income (\$M)	104	129
Shares Out. (M)	39.6	39.6
EPS	2.64	3.26
Price	29.00	35.84
Potential Upside	75%	116%

Transaction-Driven Catalysts

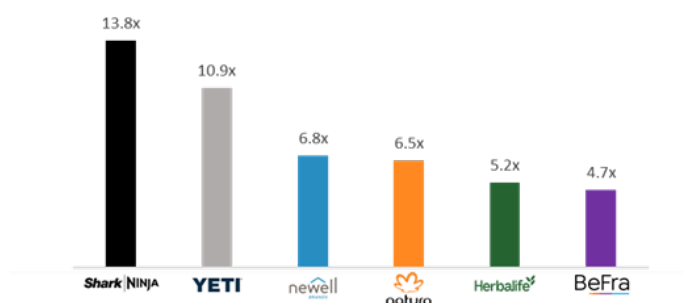
Deeply Attractive Entry Valuation: The acquisition was executed at a highly attractive valuation. Management has indicated ~40% EPS accretion; based on BeFra's 30-day VWAP of US\$15.6 at announcement, this implies an accretive value of approximately US\$21.8 per share.

BeFra screens as the most compelling value in the peer set, combining the highest EBITDA growth and EBITDA margin with the lowest forward EV/EBITDA multiple — a clear disconnect between fundamentals and valuation. In our view, the stock is materially undervalued, offering best-in-class profitability and growth at a deep discount to slower-growing, lower-margin peers.

EV/EBITDA2026E



EV/EBITDA 2026E



Significant Revenue and EBITDA Upside in Latin America: At its peak, Latin America generated approximately US\$400M in revenue, compared to roughly US\$280M today, highlighting substantial headroom for recovery and growth. As BeFra takes over the operations, we believe the region has the potential to generate an additional US\$70–80M of incremental EBITDA (doubling 2025E EBITDA of US\$81M) over the medium term, driven by the unique know-how of BeFra's management in the region and particularly in the brand. Prior to founding BeFra, Luis Campos held senior leadership roles at Tupperware. He served as President of Tupperware Americas from 1994 to 1998 and as CEO of Sara Lee – House of Fuller (Tupperware's former beauty division) from 1991 to 1993.

Brazil Optionality and Brands Expansion: Brazil generated US\$8M of EBITDA in 2025E and was therefore acquired at a minimal implied valuation, despite its historical strategic relevance. The transaction creates optionality for the expansion of the Betterware and Jafra brands into Brazil, a large and attractive market with significant long-term growth potential.

Conclusions

We forecast 2026E EPS in the range of US\$2.5–2.7, reflecting the full-year earnings contribution from the Tupperware acquisition. Our estimates further assume stable leverage and sustained free cash flow generation, which together underpin a materially stronger and more resilient earnings base.

We estimate 2026E FCF of approximately US\$114M; we believe the company should be able to rapidly de-lever to ~1.5x, while simultaneously increasing FCF to approximately US\$138M by 2027, fully supporting and potentially increasing dividend distributions. Capitalizing this level of sustainable free cash flow at a 7–10% dividend yield further validates our estimated target price of US\$30–35 per share.

Notably, the shares are currently trading well below the level implied by management's stated EPS accretion. While management referenced ~US\$22 per share at announcement, the stock today trades at roughly 50% of that implied accretive value, indicating that the anticipated benefits of the transaction are not yet reflected in the current share price.

With Tupperware transitioning from a non-core subsidiary within a declining organization to a primary strategic focus for a management team with a proven track record of value creation, the investment thesis meaningfully strengthens. BeFra's management has consistently demonstrated its ability to integrate and scale acquired businesses, as evidenced by the acquisition of Jafra in 2022, which delivered approximately 18% revenue CAGR and 23% EBITDA CAGR post-acquisition. Supported by renewed strategic focus, operational discipline, and continued innovation, we see potential for a ~50% upside in the share price over the next 12 months, and ~78% upside over the following 24 months, driven by earnings growth, improved market perception, and expansion into new markets in the region.

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Catalyst

- Earnings Accretion Becomes Visible (Hard Numbers Hit the Tape)
- Multiple Re-Rating
- Debt Paydown and Rapid Deleveraging
- Brazil Optionality
- Dividend Support / Capital Return
- Increased Coverage / Institutional Awareness

Messages

No messages